NOTE 3 – INCOME TAXES

At May 31, 2020, the Company has available unused net operating loss carryforwards of approximately $260,000 which may be applied against future taxable income and which expires in various years from 2023 through 2038. Due to a substantial change in the Company's ownership during June 2008 there will be an annual limitation on the amount of previous net operating loss carryforwards that can be utilized.

The amount of and ultimate realization of the benefits from the net operating loss carryforwards for income tax purposes is dependent, in part, upon the tax laws in effect, the future earnings of the Company, and other future events, the effects of which cannot be determined. Because of the uncertainty surrounding the realization of the net operating loss carryforwards, the Company has established a valuation allowance equal to the tax effect of the net operating loss carryforwards and, therefore, no deferred tax asset has been recognized for the net operating loss carryforwards. The net deferred tax assets are approximately $54,600 and $48,800 as of May 31, 2020 and 2019, respectively, with an offsetting valuation allowance of the same amount resulting in a change in the valuation allowance of approximately $5,800 during the year ended May 31, 2020, (exclusive of effects of Federal tax rate changes).

Deferred tax assets and the valuation account are as follows:

	For the Years Ended May 31,	
	2020	2019
Deferred tax asset:		
NOL Carryforward (at 21%)	$ 54,600	$ 48,800
Valuation allowance	(54,600)	(48,800)
	$ —	$ —

A reconciliation of amounts obtained by applying the Federal tax rate to pre-tax income to income tax benefit is a follows:

	For the Years Ended May 31,	
	2020	2019
Federal tax benefit (at 21%)	$ 5,800	$ 5,900
Change in valuation allowance	(5,800)	(5,900)
Effect of rate change on Deferred Tax Asset	—	—
	$ —	$ —

The Company did not have any tax positions for which it is reasonably possible that the total amount of unrecognized tax benefits will significantly increase or decrease within the next 12 months.

The Company includes interest and penalties arising from the underpayment of income taxes in the statements of operations in the provision for income taxes. As of May 31, 2020 and 2019 the Company had no accrued interest or penalties related to uncertain tax positions.

The tax years that remain subject to examination by major taxing jurisdictions are those for the years ended May 31, 2017 through 2020.